

**BEFORE THE
FEDERAL MARITIME COMMISSION**

CertiFit, Inc.,

Complainant,

DOCKET NO. 23-03

v.

CertiFit, Inc.'s Proposed Findings of Fact

Evergreen Shipping Agency (America) Corp.,
as agent for Evergreen Line, Evergreen Group
d/b/a Evergreen Line,

Respondent.

CF PFF 1. CertiFit is a corporation existing under the laws of the State of Utah with its principal place of business at 3170 South 900 West, Salt Lake City, Utah 84119. (Compl., ¶ 1; CX6-0502)

CF PFF 2. CertiFit is an importer of aftermarket auto parts from Asia, primarily Taiwan, and is a shipper of goods which relies on ocean carriers, including Respondent to ship its goods to the United States. (Compl., ¶ 3; CX6-0503)

CF PFF 3. Evergreen Shipping Agency (America) Corp. as Agent for Evergreen Line is a corporation existing under the laws of the State of New Jersey with its principal place of business located at 1 Evertrust Plaza, Ste. 600, Jersey City, New Jersey 07302. Evergreen Group d/b/a Evergreen Line is a trade name for various entities as noted above. At all relevant times hereto, Evergreen Shipping Agency (America) Corp. is a disclosed agent for the Evergreen Group and its constituent corporations, which includes Evergreen Group, consisting of container shipping companies including Evergreen Marine Group (Taiwan) Ltd., Italia Maritime S.p.A., Evergreen Marine

(UK) Ltd., Evergreen Marine (Hong Kong) Ltd., Evergreen Marine (Singapore) Pte. Ltd., and Evergreen Marine (Asia) Pte. Ltd. (Compl. ¶ 13; CX6-0506)

CF PFF 4. Evergreen holds itself out to the general public as a transporter of cargo as evidenced by its website, which provides a “Do Business” menu listing sailing schedules, links to book shipments via email or its website, and tracking cargo.¹

CF PFF 5. As outlined below, Evergreen holds itself out to accept cargo for whoever offers by providing shipping quotes, negotiating rates, executing shipping contracts, and filing those contracts with the Commission. *See* CF PFF Nos. 12-26, *infra*.

CF PFF 6. The Federal Maritime Commission (“FMC” or “Commission”) has jurisdiction over Evergreen because (a) it is a “ocean common carrier” as defined by the Shipping Act and as explained below (b) Evergreen entered into the 2020 Service Contract with CertiFit, and (c) as shown herein, Evergreen’s conduct and actions implicate prohibitions contained in the Shipping Act. (CX4-0480-0490)

CF PFF 7. Prior to 2020, the year the Covid-19 pandemic began, CertiFit had entered into service contracts with Evergreen for the carriage of CertiFit’s cargo for shipping years 2014-2015, 2015-2016, 2016-2017, 2017-2018, and 2018-2019. (CX7-0522-0529)

CF PFF 8. During the 2018-2019 shipping year, the parties entered into a service contract in which CertiFit agreed to tender and Evergreen agreed to transport 1,200 TEUs (approximately 534 40’ high cube containers) from May 1, 2018 – April 30, 2019. (CX7-0528-0530)

CF PFF 9. CertiFit exclusively uses 40’ high cube containers to ship its goods. *Id.*

¹ <https://www.evergreen-shipping.us/egsweb/company.html> (last visited on Nov. 29, 2023).

CF PFF 10. Despite CertiFit submitting booking notices for twelve containers per week, Evergreen was only accepting three containers per week. (CX7-0531)

CF PFF 11. On August 28, 2018, CertiFit mailed a demand letter to Evergreen notifying it that only 85 forty-foot-high cube containers—of the 534 agreed upon—had been shipped (approximately 15.9% of CertiFit’s minimum quantity commitment). (CX7-0530-0531)

CF PFF 12. CertiFit was also concerned that Evergreen would “suddenly flood [] [it] with containers again late in the Agreement term...caus[ing] CertiFit to incur very significant detention and demurrage charges...[I]t was only two months ago that CertiFit agreed to pay \$45,000 in detention and demurrage charges to Evergreen.” (CX7-0531)

CF PFF 13. Due to Evergreen’s failure to transport the minimum quantity commitment, as well as the significant detention and demurrage charges, Evergreen did not renew its service contract with Evergreen for the 2019-2020 shipping year. (CX7-0534)

CF PFF 14. As the 2020-2021 shipping year approached, CertiFit contacted Evergreen to obtain a shipping quote. *Id.*

CF PFF 15. CertiFit also executed a service contract with OOCL—Evergreen’s alliance partner, for the 2020-2021 shipping year.

CF PFF 16. In its initial email request for a quote, CertiFit stated “It has been a while we had a contract with you, but would like to try again...Our business is aftermarket auto body parts, we are interested in contracting about 750 containers from all ports in Taiwan.” (CX7-0534)

CF PFF 17. Evergreen’s employee, Kenneth Wu, eventually responded to CertiFit’s request, stating:

Yes we did have a service contract with Certifit in 2018-2019 contract year. If I recall correctly, Evergreen was the core carrier for your Memphis cargo and backup carrier for Salt Lake City. Since it has been over a year of doing business, please kindly advise if there are any further destinations I will need to check with my

[p]ricing. Believe [sic] the origins were Kaohsiung, TW, Keelung, TW and Taichung, Tw. I will check with my [p]ricing, and revert back with our proposal for your review and consideration.

(CX7-0535-0536)

CF PFF 18. In further email correspondence with Evergreen, CertiFit requested a quote for “port to door service” to Memphis, TN and Salt Lake City, UT for between 500-1000 containers and 14-to-21-day detentions. Additionally, CertiFit requested confirmation of space commitments, among other considerations. (CX7-0535)

CF PFF 19. In response to Evergreen’s first pricing quote on April 6, 2020, CertiFit inquired whether “there [is] any guarantee of space allocation (CSAL) on each vessel? I have heard there is a lot of blank sailings going, would this affect us?” (CX7-0537)

CF PFF 20. On April 10, 2020, Mr. Wu responded, stating “[r]egarding space support, we will support based on the MQC that we signed. If we sign an MQC of 1000 TEU, then that would be roughly 10x40’HQ/week space support.” This email correspondence provided a revised quote. (CX7-0538)

CF PFF 21. Mr. Wu’s email correspondence on this date further provides that the offer is an “all-in-rate” which consisted of \$3,950/40’HQ to Salt Lake City, UT and \$3,900/40’HQ to Memphis, TN. Additionally, the quote states the “Above offer includes: ... General Rate Increase (GRI). (CX7-0538)

CF PFF 22. On April 27, 2020, Evergreen emailed CertiFit the 2020-2021 Service contract which incorporated the terms set forth in Mr. Wu’s email correspondence on April 10, 2020, including but not limited to a minimum quantity commitment of 1,000 TEUs and the general rate increase being included in the rates. (CX7-0539; CX4-0481, 0487)

CF PFF 23. Tom Chen, Evergreen’s Deputy Junior Vice President, is also cc’d on this email, and is the individual who executed the contract “as agent of Evergreen Line.” (CX7-0539; CX4-0480)

CF PFF 24. That same day, Mr. Wu, emails CertiFit informing it “you may simply reply with ‘confirm for filing’ as an alternative to printing and scanning us back the signed contract. Once received, we will file and provide the SC# for booking purposes, thank you.” (CX7-0540)

CF PFF 25. On April 28, 2020, CertiFit responds to Mr. Wu’s email, stating “Please confirm for filing.” (CX7-0541)

CF PFF 26. In response, Mr. Wu emails another Evergreen employee, Andrea, stating “Please assist with filing with EGA [Evergreen America] NYC.” Mr. Chen is also cc’d on this email. (CX7-0541)

CF PFF 27. On April 29, 2020, CertiFit receives the contract number for the 2020-2021 shipping year—SC#82616 (the “2020 Service Contract”). (CX7-0542); Answer, ¶ 3.

CF PFF 28. The 2020 Service Contract was for the shipment of goods by sea from foreign countries to the United States and for the delivery to warehouse facilities within the United States via truck and rail. *See generally*, CX4.

CF PFF 29. Pursuant to the 2020 Service Contract, CertiFit agreed to tender, and Evergreen agreed to transport, a minimum volume/quantity commitment of 1,000 TEUs from the following port pairs: Hong Kong/Yantian/Kaohsiung/Pusan/Shanghai/Ningbo/Qingdao to Salt Lake City, UT; Keelung, TW to Salt Lake City, UT; Taichung, TW to Salt Lake City, UT; Hong Kong/Yantian/Kaohsiung/Pusan/Shanghai/Ningbo/Qingdao to Memphis, TN; Keelung, TW to Memphis, TN; and Taichung, TW to Memphis, TN. (CX6-0508, ¶ 24; CX4-0486)

CF PFF 30. The 2020 Service Contract did not include the port of Taipei, Taiwan. *Id.*

CF PFF 31. Because CertiFit only uses 40' high cube containers to ship its cargo, the 2020 Service Contract provides a conversion formula based on the container size. A 40' high cube container equates to 2.25 TEUs, which means that the 1,000 TEU commitment provided in the 2020 Service Contract equals 444.4 40' high cube containers. (CX13-0798, § 3.2.2)

CF PFF 32. On August 13, 2020, CertiFit sent Evergreen a demand letter complaining of the following: (i) "Evergreen appears to be actively thwarting our efforts to comply with the Agreement...[because] Evergreen is refusing to accept [] containers, and demanding significant additional surcharges to accept them, in excess of US\$1,000 per container above the amounts stated in the Agreement"; and (ii) that "Evergreen will suddenly flood us with containers late in the Agreement term, and cause CertiFit to incur very significant detention and demurrage charges payable to Evergreen." (CX7-0543-0544)

CF PFF 33. Due to Evergreen's conduct, as outlined in the August demand, CertiFit requested that "Evergreen immediately begin honoring all of CertiFit's booking notices, make sufficient vessel space available to honor the letter and spirit of the Agreement, and stop taking actions (or inaction) that will prevent CertiFit from reaching its MQC in a timely manner without additional charges or unjust detention and demurrage charges later in the Agreement term." *Id.*

CF PFF 34. In response, Evergreen employee, John Bennett, outlines the reasons for Evergreen's failure to ship containers tendered by CertiFit, stating in relevant part: "the pandemic has created significant challenges for many businesses"; "we [Evergreen] made every attempt to understand the needs of our customers in the upcoming 2020-2021 shipping season"; "as May [2020] rolled into June [2020] and up until the present [] we are experiencing extremely high volume demand which is outstripping capacity." (CX7-0544-0545)

CF PFF 35. With respect to space support, Mr. Bennett stated “we [Evergreen] can commit to the 5-8 FEU.” *Id.*

CF PFF 36. Mr. Bennett also addressed CertiFit’s assertion that Evergreen was requesting a \$1,000 surcharge to ship its containers, stating “...despite the fact that the market rate has significantly increased over the last few months, we are not asking Certifit to increase the contracted rates.” *Id.*

CF PFF 37. In response to CertiFit’s concern of Evergreen flooding it with space late in the term, Mr. Bennett expressed “our intention is not to purposely wait til the latter part of the contract and expect you to significantly increase your volume or consolidate multiple vessel volume which understandably could cause some supply chain issues for Certifit.” *Id.*

CF PFF 38. Mr. Bennett concludes Evergreen’s response noting “we value Certifit as a good customer which I personally have had the pleasure of doing business on and off with for approx. 25 years going back to when the company name was Ostler Intl.” *Id.*

CF PFF 39. Despite Mr. Bennett’s confirmation that Evergreen could commit to shipping 5-8 FEU per week, its performance throughout the first four months of the term caused CertiFit to contact Laufer to accept its offer to provide space for forty-eight containers of the next two months. This occurred on the same day as CertiFit’s demand. (CX7-0546-0555)

CF PFF 40. On August 21, 2020, an internal CertiFit email describes booking problems its suppliers are having in Taiwan, stating “The supplier say Evergreen often cancel[s] the space in the end even though they got “YES” on the booking. Evergreen is not reliable. We try our best...” (CF3179)

CF PFF 41. This email outlines twenty-six booking requests with closing dates ranging from August 27, 2020 through September 10, 2020. Of those requested bookings, only seven containers were transported by Evergreen. (CX13-0816)

CF PFF 42. On October, 14, 2020, CertiFit receives an email notification from Evergreen indicating that it was levying a general rate increase of \$1,000 USD (40' high cube container) for shipments from the Far East to the US. According to this email, the rate increase goes into effect on November 15, 2020. (CX7-0556)

CF PFF 43. Notably, the rate increase is the same amount that CertiFit was being asked to pay as a surcharge to ship its cargo. *See* CF PFF 30, *supra*.

CF PFF 44. Evergreen's general rate increase conflicts with the terms of the 2020 Service Contract, which states "General Rate Increase (GRI) is included in all rates. (CX4-

CF PFF 45. The general rate increase levied by Evergreen is also inconsistent with Mr. Wu's shipping quote which stated that the freight rate included the general rate increase. (CX4-0487)

CF PFF 46. On November 4, 2020, an internal CertiFit email outlines its booking requests, organized by closing week, from August 27, 2020 to December 3, 2020. The booking quantity throughout this period amounts to 258, and Evergreen had only released space for 53 containers as of the date of the email—November 4th. (CX7-0557, CX10-0562-0563).

CF PFF 47. On November 12, 2020, CertiFit sends a second demand letter to Evergreen which outlines many of the same grievance that were included in the August 13th demand, including but not limited to: (i) CertiFit has "tendered many containers to Evergreen for shipment under the Agreement, but Evergreen continually refuses to accept them. Evergreen obviously has capacity to ship the containers, because Evergreen will accept CertiFit's tendered containers if

CertiFit pays a very substantial surcharge for each container, more than US\$1,000 per container...”
(CX7-0558; CX1-0006-CX1-0039)

CF PFF 48. Consistent with CertiFit’s prior complaints to Evergreen, CertiFit is concerned that Evergreen is attempting to “force CertiFit toward failing to satisfy the MQC” and that it was “becoming ever clearer to us that as Evergreen has done in previous years, it intends to suddenly ship a huge backload of tendered containers later in the Agreement term...resulting in the unjust enrichment of Evergreen by charging CertiFit massive detention and demurrage charges.” (CX7-0558)

CF PFF 49. Additionally, CertiFit again complains that Evergreen is “unilaterally demand[ing] mid-contract price increases in bad faith, cloak[ing] them in the guise of surcharges or detention fees.” *Id.*

CF PFF 50. For the second time, CertiFit requests that Evergreen “immediately begin honoring all of CertiFit’s booking notices, that it use the vessel space both parties know is available to carry CertiFit’s tendered containers in a timely and even way...[and] stop taking unilateral, unjust actions to force mid-contract price increases on CertiFit.” *Id.*

CF PFF 51. In its response to the second demand, which was received by CertiFit approximately two weeks later, Mr. Bennett states

We receive [sic] another letter from you dated November 12th essentially stating very similar complaints as the previous letter you sent. My response below to the previous still applies as the market capacity and demand have not changed at all. In fact, it has become much worse since August...[due to] an extreme shortage of equipment...We will continue to do our best to service you at the agreed upon level and extra free time that was originally signed in the service contract. To be clear, we have not required or requested CertiFit to take any rate increase since the inception of the current service contract.

(CX7-0580)

CF PFF 52. Evergreen did not release the vast majority of the space requested by CertiFit because it could make significantly more money by releasing CertiFit's negotiated space to shippers paying exorbitant fees on the spot market. This is evident because on at least eleven occasions, CertiFit was forced to engage OEC Shipping Los Angeles, Inc. ("OEC"), an NVOCC, to ship its cargo which ended up being transported by Evergreen's vessels. (CX7-0559-0579)

CF PFF 53. Due to CertiFit having to engage OEC to ship containers that should have been transported by Evergreen pursuant to the 2020 Service Contract, CertiFit was forced to pay the difference in rates, which amounted to \$84,800.00. (CX7-0559-0579; CX1; CX8)

CF PFF 54. On January 8, 2021, CertiFit received an email from Evergreen (Cynthia Fees) with the subject line "Service Contract Amendment E-Signature A/C: CertiFit Inc. SC82616-1" which proposed an amendment to the 2020 Service Contract (the "Amendment"). (CX7-0581; CX5-0491)

CF PFF 55. Evergreen represented to CertiFit that the need for the Amendment was to add the port of Taipei; however, the Amendment also reduced the parties' agreed upon MQC of 1,000 TEUs to 25 TEUs. (CX5-0492)

CF PFF 56. CertiFit never requested the Amendment adding Taipei as a port and, likewise, never requested a reduction in its quantity commitment as "CertiFit would not have committed to use Evergreen to ship 1000 TEUs if that amount was not needed." (CX7-0583)

CF PFF 57. Moreover, the port of Taipei was not included in the 2020 Service Contract because CertiFit (and its suppliers) cannot ship from Taipei. (Feb. 11, 2021 spreadsheet entry, CX13-0820; CX4-0486)

CF PFF 58. On January 9, 2021, Miranda Ostler (CertiFit) contacts Kenneth Wu requesting an update on space being released by Evergreen as none had been released for the entire month. (CX7-0585)

CF PFF 59. Three days later, January 12, 2021, Mr. Wu states “[w]e are working on space release at this time, and believe there should be some bkgs [bookings] from Kaohsiung. Will keep pushing and hope for [a] better result.” *Id.*

CF PFF 60. On January 13, 2021, Mr. Wu emails CertiFit again requesting Miranda “please help push Don or Vyron to confirm our amendment to have TPE [Taipei] port in our SC [service contract] for those other bookings.” (CX7-0587)

CF PFF 61. At 1:34 p.m. on January 14, 2021, Mr. Wu emails Donnell (CertiFit), stating “Please help confirm for filing for below amendment to add Taipei port in our service contract.” (CX7-0581).

CF PFF 62. At 2:05 p.m., Mr. Wu emails Miranda, stating “All bookings held up at this time due to the contract has yet to be confirmed and filed to add Taipei. Please push Donnell or Vyron to do so soonest [sic].” (CX7-0586)

CF PFF 63. In other words, Evergreen explicitly stated that it was holding CertiFit’s bookings until it agreed to execute the unsolicited Amendment, which solely benefitted Evergreen because it would reduce the MQC to 25 TEUs. *Id.*

CF PFF 64. CertiFit specifically requested the ports included in the 2020 Service Contract because those were the locations that were used by its suppliers. Because CertiFit could not ship its cargo from the port in Taipei, Evergreen was solely attempting to reduce the MQC the parties had agreed upon. (Compl. ¶¶ 24, 35; Feb. 11, 2021 spreadsheet entry, CX13-0820; CX4-0486)

CF PFF 65. After receiving confirmation that Evergreen was in fact refusing CertiFit's booking request, CertiFit sent a third and final demand letter to Evergreen on April 19, 2021, which outlined the number of containers shipped over the term of the 2020 Service Contract. (CX7-0582-0584)

CF PFF 66. Evergreen shipped 157 of the 445 containers committed to, which equates to 353.25 TEU of the 1,000 TEUs that were agreed upon. *Id. See also* CX13-0816-0821; CX9.

CF PFF 67. As a result of Evergreen's unreasonable conduct throughout the term of the 2020 Service Contract, CertiFit was required to obtain carriage from other carriers including OOCL, Laufer Group International, and OEC. (Compl. ¶ 40, CX6-0510; *see generally*, CX1-CX3, CX8)

CF PFF 68. Evergreen violated the Shipping Act by refusing to deal or negotiate with CertiFit, as evidenced by its failure to provide contracted space, failing to accept tendered cargo, failure to provide necessary information concerning booking issues, and engaging in a scheme to withhold service, (Compl. ¶ 38, CX6-0510; CF PFF Nos. 30-60, *supra*)

CF PFF 69. Evergreen violated the Shipping Act by charging rates not in accordance with those outlined in the 2020 Service Contract by demanding surcharges in excess of those agreed upon and then attempting to conceal its conduct by levying a general rate increase which was expressly included in the rates provided in the 2020 Service Contract. (Compl. ¶ 11; CX6-0505; CX4-0487; CF PFF Nos. 42-45, *supra*)

CF PFF 70. Evergreen violated the Shipping Act by unjustly engaging in a discriminatory practice with respect to the ports agreed upon in the 2020 Service Contract by withholding space from CertiFit and not accepting additional booking requests until CertiFit

executed the Amendment. (Compl. ¶¶ 24, 35; CX6-0508-0510; CX4-0486; CF PFF Nos. 54-62, *supra*)

CF PFF 71. Evergreen's continuous and systematic practice of withholding contracted-for space to take advantage of higher prices being paid on the spot market is a violation of the Shipping Act. (Compl. ¶¶ 9-11; CX6-0505; CX13-0816-0821)

CF PFF 72. Those violations seriously damaged CertiFit and caused it to sustain actual injury. (CX8; CX1-CX3)

CF PFF 73. CertiFit is entitled to an order directing Evergreen to pay CertiFit's reparations for its actual injuries sustained. 46 U.S.C. § 41305(b).

CF PFF 74. CertiFit's damages have been calculated by comparing the difference in shipping rates between the rates provided by Evergreen pursuant to the 2020 Service Contract, and the rates provided by the other carriers that CertiFit was forced to use due to Evergreen's unreasonable conduct and practices. (CX8; CX1-CX3)

CF PFF 75. CertiFit's cargo end destination was either Memphis, Tennessee or Salt Lake City, Utah. (CX4-0486)

CF PFF. 76. The ocean freight rate contained in the 2020 Service Contract was \$3,950 to Salt Lake City, and \$3,900 to Memphis. These rates were the same irrespective of the port CertiFit's cargo was shipped from as identified in the 2020 Service Contract. *Id.*

CF PFF 77. CertiFit agreed to ship and Evergreen agreed to transport 445 40' high cube containers during the duration of the 2020 Service Contract. (CX4-0481; CX13-0798-0799)

CF PFF 78. Due to Evergreen's violations of the Shipping Act, CertiFit was required to obtain alternate means to transport its cargo. (Compl. ¶¶ 9-10; CX1, CX2)

CF PFF 79. For example, OEC arranged transportation of CertiFit’s cargo from 11/29/20 – 12/03/20 with a freight rate of either \$5,700 or \$6,200 per container depending on the destination. (CX7-0559-0579; CX1)

CF PFF 80. Due to the differential shipping rate, CertiFit incurred increased expenses totaling \$84,800.00. (CX8-0589; CX1)

CF PFF 81. For the 2020 shipping year, CertiFit also had a shipping contract with OOCL. Because CertiFit had already reached its MQC with OOCL by March 1, 2021, OOCL offered to accept additional containers tendered by CertiFit so long as it paid a rate increase of \$2,100 per container. (CX3)

CF PFF 82. Because of Evergreen’s violations of the Shipping Act, CertiFit was required to pay the increased rate offered by OOCL—through the term of the 2020 Shipping Contract, April 30, 2021—which resulted in increased expenses totaling \$127,222.00. (CX8-0590-0591; CX3)

CF PFF 83. Because of Evergreen’s violations of the Shipping Act, CertiFit was required to obtain transportation of its cargo by Laufer Group International (“Laufer”), which resulted in it having to pay freight rates in excess of those outlined in the 2020 Service Contract. This resulted in CertiFit incurring increased expenses totaling \$117,787.00. (CX8-0589-0590; CX2)

CF PFF 84. CertiFit’s total damages as a result of Evergreen’s violations of the Shipping Act amount to \$329,809.00. (CX8).

Respectfully Submitted
CHRISTENSEN & JENSEN, P.C.

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 1st day of December, 2023, the foregoing Brief was served via electronic mail on:

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